EG CONFERENCE CALL NOTES: EU Energy Outlook: Electricity costs will fall sharply by 2030

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CONFERENCE CALL NOTES

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EU Energy Outlook: Electricity costs will fall sharply by 2030

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* Qatar's Ras Laffan LNG outage will not meaningfully support European gas inventories this winter; Germany at ~45% storage is the critical weak point, though coal reactivation (~6.5 GW) provides a buffer.

* 305 GW net capacity addition across the EU by 2030 — driven by renewables and storage — should structurally push wholesale power prices down, with German baseload moving from ~€100 toward €70–75/MWh.

* Populism, particularly in France ahead of the 2027 presidential election, is the primary political risk to the renewable buildout and the price decline thesis.

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Speakers:

* Henning Gloystein, Eurasia Group (Energy and Resources)
* Conor Frydenborg, Associate, Energy and Resources, Eurasia Group (London)

The Near-Term Crunch: A Tight Winter Ahead

Qatar's Ras Laffan LNG complex remains offline following damage during the Iran conflict. Two restart attempts have failed. Speakers do not expect Qatari LNG supply to return in time to materially support European gas inventories for the 2026–2027 winter; early 2027 is the earliest plausible resumption if conditions improve quickly.

European storage is uneven. Italy is well-stocked at roughly 70% capacity. Germany, at ~45%, is the most exposed major economy and is unlikely to reach the mandatory 80% fill level by 1 November — or even 70–75% at best. The Netherlands, Belgium, and the UK are also low, with the UK carrying both low volumes and low storage capacity. Germany's buffer is approximately 6.5 GW of coal-fired capacity that could be reactivated; speakers do not expect outright gas shortages but characterize the winter as tight.

Why Two Crises in Five Years Point Toward Electrification

This is the second geopolitical supply shock within five years — Russia's full-scale invasion of Ukraine in 2022 was the first. In both cases, global oil and gas markets were oversupplied at the onset, yet price spikes occurred anyway. The structural lesson, which speakers say policymakers and executives are now internalizing, is that an abundance of global supply does not protect import-dependent economies from choke-point disruptions. The Strait of Hormuz is the most significant such choke point.
The only high-impact tool available to reduce this exposure, in the speakers' view, is electrification — displacing fossil fuel generation with renewables and nuclear, combined with storage and grid investment.

The Price Decline Thesis: 305 GW by 2030

Europe's natural gas-fired generation sets the marginal wholesale power price on most days. On a high-demand, low-wind day in Germany (e.g., 10 June), the marginal price reached €215/MWh. On a high-renewable day, five days later, prices went negative.

Negative-price hours have increased every year since 2022 and are forecast to rise sharply again in 2026. Speakers interpret this as a strong investment signal for battery electric storage systems (BESS). Current large-scale batteries operate at 4–8 hours; systems with 10–12-hour capacity are expected by approximately 2028, which would largely resolve solar day/night intermittency.

Between 2026 and 2030, Eurasia Group estimates a net capacity addition of 305 GW across the EU. Germany leads in absolute terms, with large solar, wind, and BESS additions, partially offset by coal retirements. Germany's year-ahead baseload price is currently ~€100/MWh; the forward curve implies €75–80/MWh by 2028. One speaker characterized that forward curve as "a little bit overvalued" and expects German prices to converge toward French levels during spring, summer, and autumn — though not fall below them, given France's lower levelized cost of electricity (LCOE) for existing nuclear of approximately €60–65/MWh.

At €70–75/MWh, speakers assess that most European energy-intensive industries would regain global cost competitiveness. Retail prices are not expected to fall — grid access fees and subsidies financing the buildout are passed through to consumers.

Country Divergence: Winners, Laggards, and Structural Risks

* Germany/Netherlands: Steepest price declines expected, but from very high levels; will close the gap with France and Spain rather than achieve parity.
* Spain: Already enjoys low prices; expected to maintain them; attracting energy-intensive industrial investment.
* Italy: Currently among the most gas-dependent grids in Europe and the highest-priced major economy (~€110/MWh in 2025); investment pipeline has improved, and speakers expect meaningful catch-up if capital can reach projects — a historically difficult condition in Italy.
* France: Low prices through 2030 underpinned by existing nuclear (~€60–65/MWh LCOE); faces a post-2030 investment challenge as the aging fleet requires replacement.

* Poland: Structurally disadvantaged — significant coal exposure, lagging renewable deployment, and no new nuclear capacity before 2030. Prices expected to remain elevated.
* UK: Assessed as likely to meet its Clean Power 2030 targets; offshore wind and solar pipelines are on track, with a government priority queuing system in place. Prices would be broadly comparable to Germany/Netherlands — competitive but not a leader.

Nuclear: SMRs Yes, Conventional New Builds No (Before 2030)

No conventional new nuclear capacity will come online in Europe before 2030 — Hinkley Point C, Polish plans, and new French units all fall outside this window. Small modular reactors (SMRs) are under active development across multiple countries; one speaker expects commercial SMRs online before 2030, citing a Rolls-Royce unit under construction in Wales. SMRs will add incremental firm capacity but will not be deployed at scale within the forecast horizon. One speaker described himself as "bullish on SMRs and bearish on conventional new nuclear" in Europe.

Data Centers: Inference Stays, Training Leaves

Speakers segmented European data center demand into three categories: inference (latency-sensitive, must be within ~250 km of users), sovereign cloud (regulation-bound), and AI training (not latency-sensitive). Inference and sovereign cloud show strong growth outlooks in Europe. AI training is expected to continue migrating to the US, where costs are lower, absent European regulation requiring domestic training, which is not anticipated.

Time-to-grid-connection is the binding constraint, not power prices. Priority growth regions cited: the Nordics (cheap power, space, heat reuse infrastructure), Iberia (particularly Zaragoza), northern/western France (offshore wind proximity, sovereign AI strategy), and parts of Germany north of Frankfurt (18-month connection times vs. a decade in southern Germany). West London connections are severely constrained. Italy was flagged as a near-term avoid despite major grid investment underway by utility Terna. The EU's target of tripling data center capacity in seven years was characterized as a "tall order"; 2.5x was described as "fairly reasonable."

Key Watch Items

1. Qatar LNG restart timeline: Any resumption before early 2027 would be a positive surprise for European winter supply; failure to restart would sustain elevated gas and power prices.
2. German gas storage trajectory: Whether Germany approaches 70–75% fill by 1 November will determine winter tightness and the need to activate coal reserves.
3. BESS deployment pace: 10–12-hour battery systems expected around 2028 are a key load-bearing assumption for the price decline thesis; delays would extend volatility.
4. 2027 French presidential election: Rassemblement National (RN) is vocally opposed to offshore wind, onshore wind, and interconnectors. A Marine Le Pen victory would be a material risk to France's grid investment trajectory.
5. Polish energy transition: Continued underinvestment in renewables and delayed nuclear builds will keep Polish prices elevated; watch for any acceleration in the renewables pipeline.
6. UK political risk post-2028: Conservative or Reform electoral success could reverse Clean Power 2030 commitments; Labour continuity under incoming prime minister Andy Burnham would preserve the current policy trajectory.

What Clients Are Asking

Battery economics under falling spreads: A client asked whether tightening price spreads will continue to incentivize BESS investment. Speakers acknowledged the tension: as BESS deployment compresses volatility, the spread that makes storage profitable shrinks. The likely policy response — contracts for difference (CfDs) and power purchase agreements (PPAs) guaranteeing fixed revenues — would sustain investment signals but at the cost of wholesale market liquidity.

UK vs. EU competitive positioning: The discussion surfaced a nuanced view — the UK is likely to meet its 2030 clean power targets and achieve broadly competitive prices, but will not outperform the EU leaders. The current environment is described as "not ideal," and the UK's low storage capacity amplifies near-term vulnerability.

Italy's catch-up potential: The question of whether Italy's investment pipeline can translate into actual deployed capacity was raised. Speakers were cautiously optimistic about investment flow but flagged Italy's historical difficulty converting capital into completed projects as the key execution risk.

Nuclear as a model: Clients probed whether other countries would replicate France's nuclear advantage. Speakers were skeptical of conventional new builds at scale before 2030, given cost and construction timelines, but more optimistic on SMRs as a post-2030 complement to renewables.

Data center demand as a price floor: The discussion touched on whether rising electrification demand — including data centers, EVs, and heat pumps — would offset the price-reducing effect of new generation capacity. Speakers acknowledged this dynamic and suggested it would eventually require another round of investment, supporting a longer-term price floor.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

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